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Global Metals & Mining

Sep'26 China excavator sales +14%y/y, second highest ever for the month, 9M'26: +23%y/y

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CITI'S TAKE

China excavator sales is seen as a leading indicator of construction activity (and consequently metals demand). Sep'26 excavator sales at 22.7k units was up 14% y/y, which has taken 9M'26 to +23%y/y. 9M has on average had 78% of annual sales happening during the period, and September in particular 7.2% of annual sales. FY'25 excavator sales were 235.3k, down 30% from the 338k units peak in '21. Extrapolating the relatively strong 9M'26 using normal seasonality, one could be looking at FY'26 at 274k units (+17%y/y) and extrapolating only Sep'26 would be 314k units (+33%y/y and close to all-time highs). For 9M'26 exports were up 32%y/y while domestic sales were up only 17%y/y. Excavator sales could be seen as a sign of demand conditions for construction over the next 6-9 months.

The construction contractor order intake trends in China have been pointing to a slowing in the rate of growth in infrastructure — Order intake from infrastructure construction contractors in China has led demand for commodities from infrastructure by 5-6 quarters.

Excavator sales has been motoring along 2017-2021 before slowing sharply 2022-2024 and recovering slowly the last couple of years — Excavator sales have been growing for some time and investors have been looking at it as a cross-check on the demand for steel in China (as both are driven largely by property construction and infrastructure). 2017 volumes +100%y/y, 2018 +45%y/y, 2019 +16%y/y, 2020 +39%y/y. 2021 +3%y/y. 2022 excavator sales was -23%y/y, 2023 was -25%y/y, 2024 only up 3% and 2025 recovery was stronger at +17%y/y

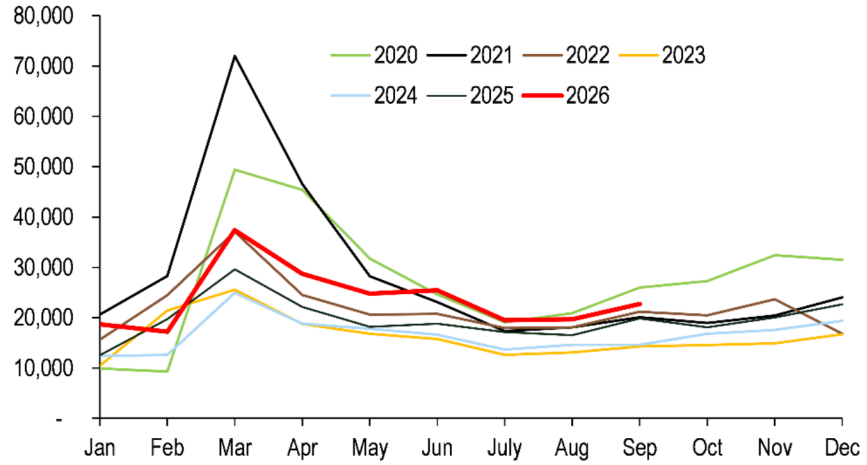
9M'26 excavator sales up 23%y/y (2025: +17%y/y), Sep'26: +14%y/y—9M'26 sales at 214k units was up 23%y/y. 9M has on average accounted for 78% of annual sales happening in the period. Extrapolating 9M'26 using normal seasonality, one could be looking at FY'26 at 274k units, +17% y/y. Extrapolating just 22.7k units for Sep'26 (on average September is 7.2% of annual sales) one could be looking at 314k units for '26 (+33%y/y and close to an all-time high). For 2025 domestic sales were up 18%y/y while exports were also up 16%y/y. For 9M'26 exports were up 32%y/y while domestic sales were up only 17%y/y.

Trend in excavator sales indicates stabilization in construction activity in 8M'26, potential pick up in 1H'27— Demand for construction machinery leads construction activity and steel demand and hence this could be viewed as an indicator of demand conditions with a 6-9 months lag.

See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations.

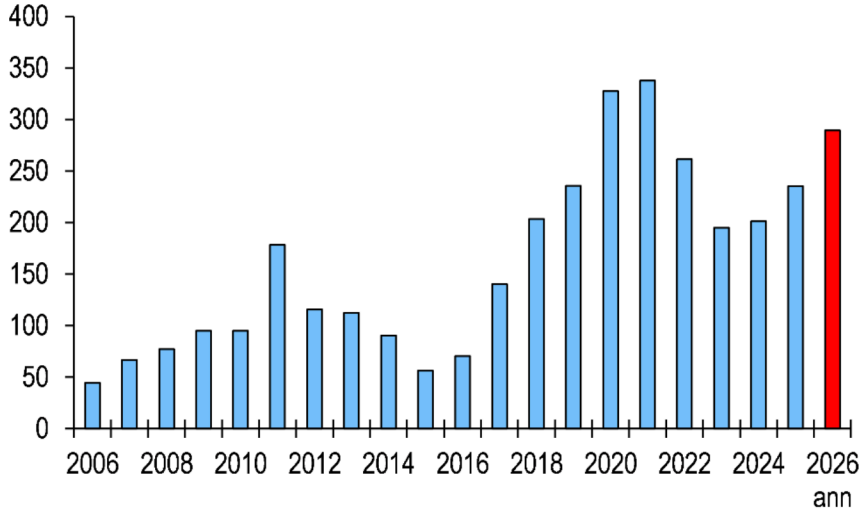
China Excavator Sales

Figure 1. Excavator sales from China (units/month)



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Source: Citi Research, CCMA

Figure 2. Annual Excavator Sales in China ('000 units/yr)



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